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CASE #	CASE NAME	HEARING NAME
CVRI2507436	REMIGIO VS FCA US LLC	DEMURRER ON COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF CONSTANTION P REMIGIO BY FCA US LLC

Tentative Ruling: Defendant FCA US LLC's Demurrer as to the 6th Cause of Action is overruled.

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Tarmann v. State Farm Mut. Auto. Ins.* (1991) 2 Cal.App.4th 153, 156.) The court assumes the truth of all material facts which have been properly pleaded and of facts which may be inferred from those expressly pleaded. (*Aubry v. Tri-City Hospital District* (1992) 2 Cal.4th 962, 967.) A demurrer, however, does not admit contentions, deductions, or conclusions of fact or law. (*Tarmann, supra*, 2 Cal.App.4th 156.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defects can be cured by amendment. (*Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1358.)

FCA demurs to the sixth cause of action for fraudulent inducement concealment on the grounds that (1) it is barred by the applicable statute of limitations; (2) it fails to plead facts with the requisite specificity, including a transactional relationship giving rise to a duty to disclose; and (3) it is barred by the economic loss rule.

Statute of Limitations

FCA first argues that the sixth cause of action for fraudulent inducement concealment is barred by the applicable statute of limitations.

Claims sounding in fraud are subject to a three-year statute of limitations. (CCP § 338(d); *see also Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1391.) The limitations period for fraud is not deemed to have accrued until the plaintiff's discovery of the facts constituting the fraud or mistake—*i.e.*, until the plaintiff learns or has reason to know of the fraudulent nature of the representation or omission. (CCP § 338(d); *Brandon G. v. Gray* (2003) 111 Cal.App.4th 29, 35.) "When [] it is apparent on the face of a pleading that the time limit of an applicable statute of limitations has run, in order to avoid the bar of the statute it is incumbent upon the pleader to state, with particularity, facts, rather than conclusions, which excuse his failure to learn of the fraud within the statutory period." (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900.)

FCA argues that because Plaintiff alleges he entered into the warranty contract on February 15, 2022, he had to file his fraud claim no later than February 15, 2025. FCA contends that Plaintiff did not file the Complaint until June 27, 2025, over four months too late. FCA further argues that Plaintiff cannot rely on the delayed discovery rule because the Complaint alleges that "[d]efects and nonconformities to warranty manifested

themselves within the applicable express warranty period[.]” (Def.’s Demurrer 8:26–28 [citing Compl. ¶ 12].)

However, the Complaint also specifically alleges that “Plaintiff discovered Defendants’ wrongful conduct alleged herein shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following FCA’s unsuccessful attempts to repair them.” (Compl. ¶ 38.) The Complaint further pleads that the running of any applicable limitations period has been tolled by, inter alia, the discovery rule and the fraudulent concealment rules. (*Id.* at ¶ 37.)

At this stage of the proceeding, the Court must accept as true all material allegations in the Complaint, regardless of how improbable they may seem. (*Sepanossian v. Nat’l Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, 196, 199, fn. 3.) Accordingly, the Court must accept as true Plaintiff’s allegations that the subject vehicle developed defects within the warranty period (Compl. ¶ 12) and that Plaintiff did not discover FCA’s alleged fraudulent concealment until shortly before initiating this lawsuit (Compl. ¶ 38). When a plaintiff reasonably should have discovered facts constituting fraud is generally a question of fact, and is properly decided as a matter of law only if the allegations can support only one reasonable conclusion. (*Broberg v. Guardian Life Ins. Co. of Am.* (2009) 171 Cal.App.4th 912, 921.) That is not the case here.

Requisite Specificity

FCA next argues that the sixth cause of action for fraudulent inducement concealment fails because Plaintiff did not plead the fraud claim with the requisite specificity.

The elements of an action for fraud and deceit based on concealment are: (1) the defendant concealed a material fact; (2) the defendant had a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed the fact with intent to defraud; (4) the plaintiff was unaware of the fact and would not have acted had he or she had knowledge of the concealed fact; and (5) the plaintiff sustained damages as a result of the concealment. (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311 [internal quotation omitted].) Fraud in the inducement is a subset of the fraud tort occurring when a promisor’s consent is induced by fraud. (*Hinesley v. Oakshade Town Ctr.* (2005) 135 Cal.App.4th 289, 294; see also *Engalla v. Permanente Med. Grp., Inc.* (1997) 15 Cal.4th 951, 973–74.)

Each element of a claim for fraud must be pleaded with specificity rather than with general and conclusory allegations. (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645; *Alfaro, supra*, 171 Cal.App.4th at 1384.) Less specificity is required where the defendant necessarily possesses the information. (*Committee on Children’s Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 217.) Furthermore, claims based on an omission can succeed without the same level of specificity required by a normal fraud claim. (*Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199.)

In *Dhital*, the California Court of Appeal addressed the sufficiency of concealment allegations for pleading purposes in a lemon law fraud case. The court found it sufficient that plaintiffs alleged a transmission defect in numerous vehicles, including the plaintiff’s, that the defendant knew of the defect and the hazards it posed, that the defendant had exclusive knowledge of the defect and failed to disclose that information, that the defendant intended to deceive plaintiffs by concealing known defects, that the plaintiffs would not have purchased the car if they had known of the defects, and that they suffered

damages on the sums paid to purchase the vehicle. (*Dhital, supra*, 84 Cal.App.5th at 844.)

In the Complaint, Plaintiff alleges that FCA knew about the Engine Defect in his vehicle and obtained this knowledge from sources not available to the public, including pre-production and post-production testing data, early consumer complaints about the Engine Defect made directly to FCA and its network of dealers, aggregate warranty data compiled from FCA's dealers, testing conducted by FCA in response to complaints, and warranty repair and part replacement data received from FCA's dealers. (Compl. ¶¶ 19, 23.) Plaintiff further alleges that FCA concealed the Engine Defect from consumers, including himself (Compl. ¶¶ 20, 25); that he would not have purchased the vehicle had he known about the defects (¶¶ 21, 69); that he suffered actual damages by purchasing the vehicle (¶ 24); and that FCA was in a superior position from various internal sources to know the true state of facts about the Engine Defect (¶ 67). At the pleading stage, these allegations are sufficient to assert a cause of action for fraudulent inducement concealment. Thus, the Court should overrule the demurrer to the sixth cause of action for fraudulent inducement concealment on this ground.

Duty to Disclose

FCA further argues that Plaintiff failed to allege a transactional relationship that gives rise to a duty to disclose. This argument is not persuasive.

For fraudulent concealment to be actionable, the defendant must have been under a duty to disclose the facts to the plaintiff. (*People v. Highland Fed. Sav. & Loan* (1993) 14 Cal.App.4th 1692, 1718; *Stevens v. Sup. Ct.* (1986) 180 Cal.App.3d 605, 608–10.) There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: “(1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336; *Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1130–31.) The last three require evidence of some transaction—i.e., direct dealings between the plaintiff and the defendant. (*LiMandri, supra*, 52 Cal.App.4th 337; *Bjoin v. J-M Manufacturing Co., Inc.* (2025) 113 Cal.App.5th 884, 902.)

In *Bigler-Engler*, the plaintiff had sued her doctor, the manufacturer, and a supplier regarding the malfunction of a medical device providing cold therapy. The plaintiff had rented the device from a supplier. The court found there was no duty to disclose because there was no relationship between the plaintiff and the manufacturer, no evidence the manufacturer knew that the plaintiff even had the device (since she obtained it from a supplier), and no evidence that the manufacturer advertised the device to the public. (*Bigler-Engler, supra*, 7 Cal.App.5th at 314.)

FCA cites *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 for the proposition that there is “no close relationship between vehicle manufacturers and vehicle purchasers,” and that no transactional relationship exists merely by virtue of the sale of the vehicle. (See Def.'s Demurrer 6:24–26.) That reliance is misplaced. *Ford Motor Warranty Cases* addressed whether a manufacturer that was not a signatory to the retail sales contract could invoke its arbitration clause under equitable estoppel; it did not hold that a vehicle manufacturer owes no disclosure duty to a purchaser under its own written

warranty. Nothing in *Ford Motor Warranty Cases* forecloses a duty to disclose arising from direct warranty dealings between a manufacturer and a purchaser.

Here, Plaintiff alleges that he entered into a warranty contract with FCA regarding the subject vehicle. (Compl. ¶ 7.) Plaintiff further alleges that FCA and its representatives have been unable to repair the subject vehicle to conform to the applicable express warranties after a reasonable number of repair attempts. (*Id.* at ¶¶ 38, 41, 43.) That demonstrates a transactional relationship for pleading purposes. As discussed above, Plaintiff pled exclusive knowledge. (*Id.* at ¶¶ 19, 67(a)–(b).) Thus, the Court should overrule FCA’s demurrer to the sixth cause of action for fraudulent inducement concealment on this ground.

Economic Loss Rule

FCA finally argues that the sixth cause of action is barred by the economic loss rule and the independent tort principle under *Rattagan*. This argument is not persuasive at the pleading stage.

Conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law. (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 551.) However, the economic loss rule does not bar recovery for intentional tort claims like fraudulent inducement. (*Rattagan, supra*, 17 Cal.5th at 38.) No rational party anticipates fraud. (*Id.* at 33.)

In *Dhital*, the Court of Appeal addressed whether fraudulent inducement by concealment falls within an exception to the economic loss rule. (*Dhital, supra*, 84 Cal.App.5th at 836.) The court held that fraudulent inducement by concealment falls outside the coverage of the economic loss rule because the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm. (*Id.* at 841.) The independence requirement is satisfied in the case of fraudulent inducement—whether achieved by intentional concealment or by intentional affirmative misrepresentations—because a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s later breach of the contract or warranty provisions. (*Id.*)

Here, the sixth cause of action alleges that FCA concealed the Engine Defect prior to the sale of the vehicle, and that Plaintiff would not have purchased the vehicle had he known of the defect. (Compl. ¶¶ 21, 65, 66.) The alleged concealment occurred before the warranty contract was formed and induced Plaintiff to enter into the transaction. Under *Dhital*, that conduct falls outside the economic loss rule.